

Circular 2025/01 — Revised Data Retention and Records Management Requirements

Reference:	FRA/CIR/2025/001	Issue Date:	15 January 2025
Effective Date:	01 April 2025	Response Deadline:	28 February 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. Purpose and Scope

This circular sets out revised requirements for the retention and management of client records, transaction data, and communication logs by all regulated financial institutions. These requirements supersede the provisions set out in Circular FRA/CIR/2022/008 with immediate effect upon the stated effective date. All firms holding a licence under the Financial Services Act must comply fully with the provisions herein.

2. New Retention Periods

With effect from 1 April 2025, all regulated firms MUST retain the following categories of records for a minimum period of SEVEN (7) years from the date of the transaction or client interaction: (a) All client communications including email, instant messaging, and recorded telephone calls; (b) Transaction records including order books, trade confirmations, and settlement records; (c) Know-Your-Customer (KYC) documentation and identity verification records; (d) Risk assessment reports and credit evaluation documentation; (e) Board minutes and senior management meeting records pertaining to regulated activities.

3. Security and Access Controls

All retained records must be stored in tamper-evident, encrypted repositories with access controls restricting retrieval to authorised personnel only. Firms must maintain an audit trail of all access to retained records. Cloud storage solutions are permissible provided they comply with the Authority's cloud outsourcing guidelines (FRA/GL/2024/003) and data residency requirements.

4. Penalties for Non-Compliance

Failure to comply with these retention requirements by the deadline of 28 February 2025 may result in enforcement action including financial penalties of up to USD 5,000,000 per breach, suspension of operating licence, and public censure. The Authority reserves the right to conduct unannounced audits to verify compliance.

5. Action Required

All Chief Compliance Officers must submit a written attestation confirming their firm's compliance with these requirements by 28 February 2025 via the Authority's online supervisory portal. Firms requiring additional guidance should contact the Supervision Department at supervision@fra.gov.